

Lesson 10 — Practical Merchandise Planning Project

Fashion Merchandise Planning

This capstone project brings together Lessons 1–9. The objective is to build a simple end-to-end merchandise plan for a fashion business using sales, stock, WSSI, OTB, ROS/WOS, sell-through and assortment planning.

By completing this project, a learner should be able to move from a business target to a practical merchandise plan and explain the commercial logic behind the numbers.

1. The Business Case

You are the Merchandise Planner for a premium men's fashion brand. Management has given you an annual sales target and expects you to create a commercially workable merchandise plan.

Assumption	Illustrative Input
Annual sales target	■10.00 crore
Gross margin	60%
Opening inventory	■2.50 crore
Desired closing inventory	■3.00 crore
Season / planning horizon	26 weeks
Categories	Shirts, Polos, T-shirts, Trousers, Denim

All figures above are illustrative for learning and are not industry benchmarks.

2. Your Project — Build the Plan

- **Step 1 — Sales Plan:** Convert the annual target into a monthly/weekly sales plan and define category contribution.
- **Step 2 — MFP:** Calculate gross margin, COGS and the inventory movement required to support the plan.
- **Step 3 — Calendar:** Phase the business across 26 weeks, identifying normal trading, peak periods and markdown/EOSS periods.
- **Step 4 — Stock Plan:** Set opening stock, receipts, sales and closing stock for each week.
- **Step 5 — WSSI:** Compare plan versus actuals and identify weeks where stock is too high or too low.
- **Step 6 — OTB:** Calculate how much additional inventory can be committed after considering sales, stock requirements and existing commitments.
- **Step 7 — ROS/WOS:** Calculate rate of sale, weeks of supply and sell-through for the product assortment.
- **Step 8 — Assortment:** Decide category breadth, option count, depth, price points, colour and size mix.

3. Core Formulas

Metric	Formula
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Gross Margin ■	$\text{Sales} \times \text{Gross Margin \%}$
COGS	$\text{Sales} - \text{Gross Margin} \blacksquare$
Closing Stock	$\text{Opening Stock} + \text{Receipts} - \text{Sales}$
ROS	$\text{Units Sold} \div \text{Number of Weeks}$
WOS	$\text{Closing Units} \div \text{Weekly ROS}$
Sell-through %	$\text{Units Sold} \div (\text{Opening Units} + \text{Receipts}) \times 100$
OTB at Retail	$\text{Planned Sales} + \text{Desired Closing Stock} - \text{Opening Stock} - \text{Committed Receipts}$

4. Management Questions

- Which categories are driving the sales plan?
- Which categories require more stock depth and which need tighter inventory?
- Where does the WSSI show a potential stock risk?
- How much OTB is available and what should be bought?
- Which products have healthy ROS/WOS and which need action?
- Does the assortment have the right breadth, depth, price points, colours and sizes?
- What actions would you take if actual sales are 15% below plan for four consecutive weeks?

5. Final Deliverable

Complete the Excel workbook. Your final plan should contain a clear sales target, category plan, 26-week stock/WSSI view, OTB calculation, product-level ROS/WOS and sell-through analysis, and an assortment recommendation.

The final page of your workbook should contain a short management summary: **What is happening? Why is it happening? What action should the merchandise team take?**

Key Takeaway

Merchandise planning is not a collection of separate Excel calculations. The strongest plans connect sales, stock, intake, assortment and customer demand into one commercial story. This project is designed to make you practise that connection.